

Males							Social Security 2013 Period Life Table
Non-smoker				Smoker			
Health Classification	Excellent	Average	Poor	Excellent	Average	Poor	
Chance of Survival							
90%	72	71	70	68	68	67	70
75%	80	78	76	73	72	71	76
50%	87	85	83	81	78	76	83
25%	94	92	90	88	85	83	89
10%	98	97	95	94	91	89	94

Females							Social Security 2013 Period Life Table
Non-smoker			Smoker				
Health Classification	Excellent	Average	Poor	Excellent	Average	Poor	
Chance of Survival							
90%	75	74	72	70	69	68	73
75%	83	81	79	76	75	73	79
50%	90	88	86	84	82	80	86
25%	96	94	93	92	89	87	92
10%	101	99	97	97	95	93	96

Source: The Longevity Illustrator, www.longevityillustrator.org.

In practical terms, most individuals will probably be best served by using fixed time horizons that are sufficiently conservative to reflect their personal concerns about outliving their wealth. Generally, choosing planning ages for the tenth percentile from this exhibit is a reasonable approach for many. Those who are more concerned about the implications of longevity will wish to assume a longer time horizon and behave more conservatively. This is a more straightforward way to incorporate longevity risk aversion into a retirement income plan. Trying to develop a plan around survival probabilities by age is more complex.